

and stable tokens to suit the risk preferences of investors, and new tokens are continually added.

The Compound protocol must escrow tokens as a depositor to maintain that liquidity for the platform itself and to keep track of each person's ownership stake in each market. It would be naïve to keep track of the number inside a contract; instead, it would be better to tokenize the user's share. Compound does this using a cToken, one of the platform's important innovations.

Compound's cToken is an ERC-20 in its own right and represents an ownership stake in the underlying Compound market. For example, cDAI corresponds to the Compound DAI market, and cETH corresponds to the Compound ETH market. Both tokens are minted and burned in proportion to the funds added and removed from the underlying market as a means to track the amount belonging to a specific investor. Because of the interest payments that continually accrue to suppliers, these tokens are always worth more than the underlying asset. The benefit of designing the protocol in this way is that a cToken can be traded on its own like a normal ERC-20 asset. This trait allows other protocols to seamlessly integrate with Compound simply by holding cTokens and allows users to deploy their cTokens directly into other opportunities, such as using a cToken as collateral for a MakerDAO vault. Instead of using ETH only as collateral, an investors can use cETH and earn lending interest on the ETH collateral.

For example, assume there are 2,000 DAI in the Compound DAI market, and a total 500 cDAI represents the ownership in the market; this ratio of cDAI to DAI is not determinative